



Notification Waiver Determination

Hillhouse - KMC Solutions

Acquisition	Hermes Bidco Limited, a subsidiary of Hillhouse Investment Management, Ltd (Hillhouse), applied for a notification waiver in respect of its proposed acquisition of a majority interest in KMC Solutions Hong Kong Limited (KMC Solutions), as described in the transaction documents provided as part of the application (the Acquisition).
Determination	The Australian Competition and Consumer Commission has determined under section 51ABV(1)(a) of the <i>Competition and Consumer Act 2010</i> (Cth) that the Acquisition is not required to be notified.
Date of determination	25 May 2026

Parties to the Acquisition	Hillhouse is a global alternative investment manager that deploys capital across multiple strategies, including public equities, private equity, private credit, and real assets. Through its private equity arm, Hillhouse invests in long-term global opportunities across the business services, healthcare, consumer, and industrials sectors. One of Hillhouse's investments is in Ascentium, a Singapore-based platform focusing on trust and corporate services in Asia-Pacific region, including in Australia. It provides administration, compliance, and business solution, which includes employer of record (EOR) or Professional Employer Organisation (PEO) services. KMC Solutions is a business that primarily operates in the Philippines, supplying workspace and outsourced HR services including to Australia. KMC Solutions supplies physical workspaces in the Philippines, with strategic locations in financial hubs or business districts. KMC Solutions manages these workspaces through providing 24/7 access and facilitating reliable internet network infrastructure. KMC Solutions also offers end-to-end outsourced HR services centred around workforces in the Philippines. KMC Solutions recruits individuals for companies around the world (including Australian companies) interested in establishing an offshore workforce primarily from the Philippines, as well as Vietnam, Mexico and Colombia. It also handles related HR services in the Philippines such as initial talent recruitment and negotiation of employment contracts, onboarding, training and continuous payroll services. As part of its end-to-end outsourced solution, it offers EOR and PEO services. EOR or PEO services allows organisations to establish and manage an offshore workforce. An EOR service provider will be the legal employer of the person being hired. In contrast, a PEO service provider will enter into a co-employment relationship with the organisation and the person being hired.
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Explanation for determination	In making this notification waiver determination, the Australian Competition and Consumer Commission (the ACCC) has considered the information provided with the notification waiver application and had regard to the factors in section 51ABV(2)(b) of the <i>Competition and Consumer Act 2010</i> (Cth) (the Act). Based on the information currently before it, the ACCC considers that the Acquisition is unlikely to give rise to any material lessening of competition. In particular: a. there is a small horizontal overlap between Hillhouse and KMC Solutions in the supply of offshore recruitment and HR services to Australian customers b. there are alternative suppliers of offshore recruitment and HR services to Australian customers c. there is a low risk of foreclosure or other concerning vertical or conglomerate effects resulting from exclusionary conduct, bundling or tying of offshore corporate services and offshore recruitment and HR services to Australian customers post-acquisition. The ACCC has also had regard to the likelihood that, if the Acquisition were put into effect, the notification thresholds determined under section 51ABP(1) of the Act would apply. While the ACCC considers that the notification thresholds are likely to be met, given that material competition concerns are unlikely to arise, the ACCC has determined that the Acquisition is not required to be notified. The ACCC considers that the determination is consistent with the object of the Act and the interests of consumers in promoting competition. For more information about the ACCC's approach to considering notification waiver applications and to assessing competition effects more generally, see the ACCC's interim guidance on notification waivers and merger assessment guidelines.
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Determination made by Commissioner Woodward pursuant to a delegation under section 25(1) of the Act